SCSE 2123: Software Requirements Engineering

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Case Study: Etiqa Digital Payout (via eMoney) in Accelerating Customer Disbursements and Reinforcement of Financial Inclusion

1. Company Overview

Etiqa Insurance and Takaful Berhad ("Etiqa") is a leading insurance and Takaful provider in Malaysia, offering a comprehensive range of Life and General insurance as well as family and general Takaful products. Operating under Maybank Group, one of Southeast Asia's largest financial services institutions, Etiqa combines strong financial expertise with digital innovation to make insurance and Takaful simple, fast, and convenient for everyone.

With a presence across Malaysia, Singapore, Indonesia, the Philippines, and Cambodia, Etiqa serves millions of customers through multiple channels — including online platforms, branches, agents, and bancassurance partners.

Etiqa continues to innovate in delivering value to our customers by leveraging digital solutions. Currently, policy claims pay-outs, surrender, surplus sharing and cashback (for example Etiqa's Cashback for Driving Less payouts) are processed through conventional bank transfers. While effective, this process can be slower, requires multiple dependencies, and does not directly support reinvestment into insurance or takaful products.

2. Objectives of Etiqa eMoney Initiative

To enhance convenience and align with the evolving financial technology landscape, Etiqa is introducing the use of eMoney (through an eWallet function) as an alternative disbursement method. This initiative supports faster, more seamless transactions while remaining fully compliant with prevailing financial services.

The primary objective of this initiative is to:

- Streamline customer payouts by crediting entitlements directly into an e-Money account.
- Offer flexibility to customers, allowing them to either withdraw funds to their bank accounts or reinvest them seamlessly into Etiqa's products.
- Strengthen customer engagement by integrating payout mechanisms within Etiqa's ecosystem, fostering long-term protection and financial security.

The Etiqa eMoney Platform initiative seeks to modernize and streamline the company's payout processes through a secure, customer-centric, and fully digital ecosystem. The primary goal is to replace conventional bank transfers with instant, automated eMoney transactions that enhance payout speed and customer satisfaction. Beyond operational efficiency, the platform empowers customers by giving them direct control over their disbursed funds—allowing them to withdraw, reinvest into new or existing insurance and takaful policies, or donate seamlessly through the Etiqa+ application.

This initiative also reflects Etiqa's commitment to promoting financial inclusion, ensuring that even underinsured or unbanked customers can access funds conveniently through a compliant digital channel. Additionally, it supports internal goals of operational efficiency by reducing manual processes such as reconciliation and verification, and ensuring end-to-end regulatory alignment with Bank Negara Malaysia's Risk Management in Technology (RMiT) framework. Ultimately, the eMoney platform strengthens Etiqa's strategic position as a leading digital insurer within the region by integrating innovation, compliance, and customer empowerment in a single initiative.

The success of the Etiqa eMoney Platform depends on collaboration among multiple stakeholders, both internal and external to the organization. The primary stakeholders for the Etiqa eMoney Platform include customers and policyholders who will directly receive and manage payouts through the system; claims and finance officers responsible for validating, approving, and reconciling payments; compliance and risk teams ensuring adherence to Bank Negara Malaysia (BNM) and Risk Management in Technology (RMiT) requirements; IT and system integration teams overseeing secure development and interoperability with Etiqa's core systems; Maybank technology partners providing payment gateway and API infrastructure for real-time disbursement; and regulators from BNM who monitor compliance, transparency, and governance of the overall eMoney ecosystem.

At the core are the customers and policyholders, who will directly benefit from faster payouts, transparent tracking, and the ability to manage their funds digitally. Their experience forms the primary focus of the system's design.

Internally, the Claims and Finance teams play a critical role in approving, authorizing, and reconciling payouts, while the Compliance and Risk units ensure that every transaction meets regulatory standards under BNM's eMoney and RMiT guidelines. The IT and Systems Integration teams are responsible for developing and maintaining the platform's secure architecture, managing data integrity, and ensuring that the eMoney system integrates effectively with existing Etiqa+ and core insurance systems.

Externally, Maybank Technology Partners provide the secure payment gateway and API infrastructure necessary for instant eMoney crediting. Finally, Bank Negara Malaysia (BNM) serves as the regulatory authority overseeing compliance, transparency, and reporting within the eMoney ecosystem. Together, these stakeholders form a connected ecosystem that ensures technological reliability, customer trust, and compliance-driven innovation across all operational layers of the eMoney initiative.

As conclusion, Etiqa currently lacks a unified digital eWallet (aka eMoney) solution to credit and manage customer -related payouts such as claims, refunds, surplus, and rewards. This limits customers' immediate access to their funds, creates operational inefficiencies, and complicates comp liance tracking. Implementing an eMoney wallet will allow Etiqa to manage internal payouts seamlessly while providing customers transparency and cont rol over their money.

3. Current Issues and Limitations

Etiqa's current payout process relies heavily on traditional bank transfers, which limit customers' access to funds when delays or transaction failures occur. The organization does not yet have a dedicated eWallet mechanism that allows customers to receive, view, or manage their payouts digitally. When a direct bank credit fails or is delayed, customers are left without an immediate alternative, often waiting several days before funds become available. This situation affects overall customer satisfaction and creates inefficiencies in the claims disbursement process.

Another key limitation lies in the absence of a unified payout handling system. Currently, various payout types such as claims, refunds, surplus distributions, and rewards are managed across different systems. This fragmentation leads to difficulties in fund tracking and inconsistent data across operational channels. Without a centralized platform to consolidate customer-related payouts, operational transparency is compromised, and the likelihood of redundant manual work increases.

The reliance on manual crediting and reconciliation processes further contributes to inefficiencies. Customers must wait for human approval or manual fund transfers, leading to delayed access and potential dissatisfaction. For Etiqa's internal teams, this results in increased processing time and higher administrative costs. The lack of automation not only slows operations but also introduces a higher risk of human error in financial processing.

Additionally, customers currently have limited visibility and control over their payout funds. They are unable to view real-time balances, transaction histories, or exercise options to reinvest or withdraw funds directly. This lack of transparency undermines customer empowerment and weakens engagement with Etiqa's digital ecosystem. As a result, opportunities to encourage reinvestment into protection plans or promote long-term customer loyalty are diminished.

From an operational and regulatory standpoint, the absence of an internal eMoney framework creates complexity in compliance management. Without a structured digital payout mechanism, validating transactions, reconciling unclaimed funds, and generating compliance reports for Bank Negara Malaysia (BNM) are time-consuming and error-prone. The manual nature of these processes increases the risk of non-compliance and inefficiencies in reporting accuracy.

Finally, Etiqa's current readiness for digital engagement remains limited compared to industry peers. Many insurers are adopting instant payout solutions via eWallets to improve customer experience and align with emerging financial technologies. Without a similar capability, Etiqa risks lagging behind in digital innovation and may face challenges in retaining tech-savvy customers who increasingly expect instant, transparent, and user-friendly financial services.

4. Etiqa eMoney Future Visions

The introduction of the Etiqa eMoney Platform represents a major leap toward enhancing customer experience and operational excellence within Etiqa's service ecosystem. From a customer perspective, the initiative delivers a new level of convenience and accessibility. By replacing manual bank transfers with instantaneous digital crediting, customers can now receive their payouts without delays caused by interbank dependencies. This ensures that policyholders have immediate access to their funds at any time, reflecting Etiqa's commitment to speed and reliability in customer service.

The eMoney platform also offers greater choice and flexibility to customers. Instead of passively receiving payouts, users can now actively decide whether to withdraw their funds to a personal bank account, reinvest them into insurance or takaful protection plans, or channel them toward other financial needs. This flexibility supports a more customer-driven experience while aligning with Etiqa's broader vision of promoting financial empowerment and engagement within its digital ecosystem. In addition, the platform's transparent interface allows users to monitor their balances, transactions, and reinvestments in real time, building trust and confidence through greater financial visibility.

Beyond convenience and flexibility, the initiative plays a vital role in promoting financial inclusion. The seamless reinvestment options encourage underinsured and underserved groups to maintain or expand their protection coverage. This customer-centric approach ensures that financial benefits are not only delivered efficiently but also reinvested meaningfully, contributing to long-term financial security and resilience across diverse user segments.

From a business standpoint, the eMoney platform enhances operational efficiency by automating processes that previously relied on manual intervention. Tasks such as payout approvals, reconciliation, and reporting are now streamlined through digital workflows, reducing errors and administrative overhead. The resulting efficiencies allow Etiqa to redirect resources toward innovation and customer engagement initiatives rather than routine back-office tasks.

The initiative is also expected to strengthen customer retention and loyalty. By offering a convenient and transparent payout mechanism, Etiqa increases the likelihood of customers reinvesting their funds into renewed or additional policies. Moreover, the digital payout system encourages greater usage of the Etiqa+ application, as customers who receive notifications of available funds are prompted to register or log in to access their eMoney. This naturally drives higher engagement across Etiqa's digital ecosystem.

On a strategic level, the eMoney initiative underscores Etiqa's position as a forward-thinking InsurTech leader. The move toward digitized disbursement not only demonstrates alignment with the national financial innovation agenda but also reflects proactive compliance with Bank Negara Malaysia's regulatory frameworks. By ensuring that the platform adheres to the Risk Management in Technology (RMiT) standards and data protection requirements, Etiqa reinforces trust among customers, regulators, and business partners alike. Collectively, these outcomes represent a

balanced fusion of customer satisfaction, business sustainability, and regulatory accountability that defines the future of Etiqa's digital financial services.

5. Other Constraints

The Etiqa eMoney initiative is developed in strict alignment with Malaysia's prevailing financial regulations and industry standards for digital payment instruments. As part of Etiqa's ongoing commitment to governance and responsible innovation, the platform is designed to comply with the Bank Negara Malaysia (BNM) framework governing eMoney operations. This ensures that every transaction conducted through the platform remains secure, traceable, and transparent, in line with national and international best practices.

Within this regulatory framework, the eMoney system is intended to operate primarily within Etiqa's own ecosystem. Customers can use their credited funds to purchase, renew, or upgrade their insurance and takaful products directly through the platform. This closed-loop approach not only promotes financial reinvestment but also enhances regulatory control over fund flow and reporting accuracy. At the same time, the system maintains customer convenience by allowing funds to be transferred to personal bank accounts when desired, ensuring flexibility without compromising compliance or transparency.

To maintain the integrity and reliability of the eMoney platform, Etiqa has embedded comprehensive risk management and control mechanisms based on the Risk Management in Technology (RMiT) policy. These controls address critical areas such as data protection, cybersecurity, operational continuity, and customer safeguards. Advanced security protocols, including encryption and restricted data access, protect sensitive customer information within the eMoney ecosystem. Operational risk controls are implemented to minimize downtime, prevent failed transactions, and ensure that the system remains continuously available for users.

Customer protection is another central component of Etiqa's compliance strategy. The platform includes clear disclosures outlining the scope and permitted uses of eMoney, promoting informed and responsible customer behavior. All compliance notifications and control documentation are formally reported to Bank Negara Malaysia through Etiqa's Risk and Compliance Division. This proactive governance approach ensures that every aspect of the eMoney initiative adheres to regulatory expectations, while simultaneously fostering trust, accountability, and sustainability across Etiqa's digital financial services ecosystem.